

For those without the skill or time to invest directly in an asset class, they can invest in the same via an indirect method, which involves using expert help, also known as mutual funds. As we have already discussed earlier, mutual funds are like a collection of small individual investors who pool in their resources and get an expert to manage the same. For instance, 100 investors together pool Rs. 10,000 each to a mutual fund which now has Rs. 10 lac. The fund now appoints an expert to manage their money. Independently, none of these individuals would have been able to afford an expert. But together, their money is being managed effectively by an expert. This is the underlying math behind the functioning of mutual funds. It is built on the power of collective investing i.e. mutual investments.

In reality, thousands of people contribute lacs of rupees into mutual funds. Mutual funds today have thousands of crores to manage. The funds can very effectively manage such large amounts by having a team to carry out extensive research and investment activities.

